EY–Dahua: Audit Outcomes

| | Unwarned any failure | Unwarned restatement | Unwarned violation |
|---|---|---|---|
| First stage: Big4 adoption | 0.38129*** | 0.38129*** | 0.38129*** |
| | (0.05845) | (0.05845) | (0.05845) |
| $p$ | $< 0.001$ | $< 0.001$ | $< 0.001$ |
| Reduced form / DID | -0.01695 | -0.00829 | -0.00843 |
| | (0.02017) | (0.01881) | (0.00980) |
| $p$ | 0.401 | 0.659 | 0.390 |
| 2SLS: Big4 effect | -0.04445 | -0.02175 | -0.02212 |
| | (0.05352) | (0.04942) | (0.02584) |
| $p$ | 0.406 | 0.660 | 0.392 |
| KP first-stage F | 42.56 | 42.56 | 42.56 |
| Observations | 9,769 | 9,769 | 9,769 |
| Firm clusters | 1,102 | 1,102 | 1,102 |
| Baseline exposed clients | 46 | 46 | 46 |
| Pretrend joint $p$ | 0.022 | 0.092 | 0.232 |

*Notes:* SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.